Annual Results of Operations

The following table sets forth certain financial data from our Consolidated Statements of Income:

	2019		2018		2017	
	$ million	% of net revenues	$ million	% of net revenues	$ million	% of net revenues
Net sales	$ 9,529	99.7%	$ 9,612	99.5%	$ 8,308	99.5%
Other revenues	27	0.3	52	0.5	39	0.5
Net revenues	**9,556**	**100.0**	**9,664**	**100.0**	**8,347**	**100.0**
Cost of sales	(5,860)	(61.3)	(5,803)	(60.0)	(5,075)	(60.8)
Gross profit	**3,696**	**38.7**	**3,861**	**40.0**	**3,272**	**39.2**
Selling, general and administrative	(1,093)	(11.4)	(1,095)	(11.3)	(981)	(11.8)
Research and development	(1,498)	(15.7)	(1,398)	(14.5)	(1,296)	(15.5)
Other income and expenses, net	103	1.1	53	0.5	55	0.7
Impairment, restructuring charges and other related closure costs	(5)	(0.1)	(21)	(0.2)	(45)	(0.6)
Operating income	**1,203**	**12.6**	**1,400**	**14.5**	**1,005**	**12.0**
Interest expense, net	1	0.0	(7)	(0.1)	(22)	(0.3)
Other components of pension benefit costs	(16)	(0.2)	(11)	(0.1)	(12)	(0.1)
Income (loss) on equity-method investments	1	0.0	8	0.1	(2)	(0.0)
Loss on financial instruments, net	—	—	(1)	(0.0)	(16)	(0.2)
Income before income taxes and noncontrolling interest	**1,189**	**12.4**	**1,389**	**14.4**	**953**	**11.4**
Income tax expense	(156)	(1.6)	(96)	(1.0)	(143)	(1.7)
Net income	**1,033**	**10.8**	**1,293**	**13.4**	**810**	**9.7**
Net income attributable to noncontrolling interest	(1)	(0.0)	(6)	(0.1)	(8)	(0.1)
Net income attributable to parent company	**$ 1,032**	**10.8%**	**$ 1,287**	**13.3%**	**$ 802**	**9.6%**

Net revenues

	Year Ended December 31,			% Variation	
	2019	2018	2017	2019 vs 2018	2018 vs 2017
	(in millions)				
Net sales	$ 9,529	$ 9,612	$ 8,308	(0.9)%	15.7%
Other revenues	27	52	39	(49.0)	36.1
Net revenues	**$ 9,556**	**$ 9,664**	**$ 8,347**	**(1.1)%**	**15.8%**

Our 2019 net revenues decreased 1.1% compared to the prior year, primarily due to a decrease in volumes of approximately 8%, partially compensated by an increase in average selling prices of approximately 7%. The increase in the average selling prices was driven by favorable product mix of approximately 10%, partially offset by a negative pricing effect of approximately 3%.

Our 2018 net revenues increased 15.8% compared to the prior year, primarily due to increase in average selling prices of approximately 16%, while volumes remained substantially flat. The increase in the average selling prices was driven by favorable product mix of approximately 18%, partially offset by a negative pricing effect of approximately 2%. Our net revenues registered double-digit growth across all product groups and geographies.

In 2019, 2018 and 2017, our largest customer, Apple, accounted for 17.6%, 13.1% and 10.5% of our net revenues, respectively, reported within our three product groups.